

DoorDash

NASDAQ : DASH \$78.38B mkt cap · 415M sh · \$5.5B cash, zero debt · ~\$5.5B net cash; ~415M basic / ~442M diluted shares (SBC dilutes ~\$1.3B/yr); GOV · Mature- \$102B / revenue \$13.72B FY25 (+27% GOV); \$1.8B FCF; first +FY GAAP income 2024; Down ~40% from highs; advertising ~\$1B run-rate, Company DCF Deliveroo+Wolt international, ~33x EV/FCF

\$188.87

THE CENTRAL QUESTION

Is DoorDash a dominant local-commerce network whose profitability is about to inflect — or a high-SBC, ~33x-FCF delivery business punished for spending ahead of returns?

DoorDash trades at ~\$66B (≈\$159/sh, down ~40% from \$285) — ~33x EV/FCF on \$1.8B FCF, but GOV is still compounding +27% (\$102B) and adj-EBITDA hit \$2.8B (~2.7% of GOV). The crash is a margin/SBC problem, not a growth one. The mature DCF asks whether advertising (~\$1B run-rate) + New-Verticals (grocery) unit economics + international (Deliveroo/Wolt) inflect the 2.4%-of-GOV margin upward, against ~\$1.3B/yr SBC dilution. The finding: roughly fair — the 20%+ growth + margin inflection are offset by the premium FCF multiple + dilution.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$156.70

expected fair value today
-17.0% vs spot \$188.87

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$245.23	\$384.04	\$601.82	\$943.71
1.30x spot	2.03x spot	3.19x spot	5.00x spot

WEIGHTING RATIONALE

Ultra Bear 15% Growth slows; margin stalls; SBC; ~\$67 (-58%).

Bear 27% Decel; modest inflection; ~\$103 (-35%).

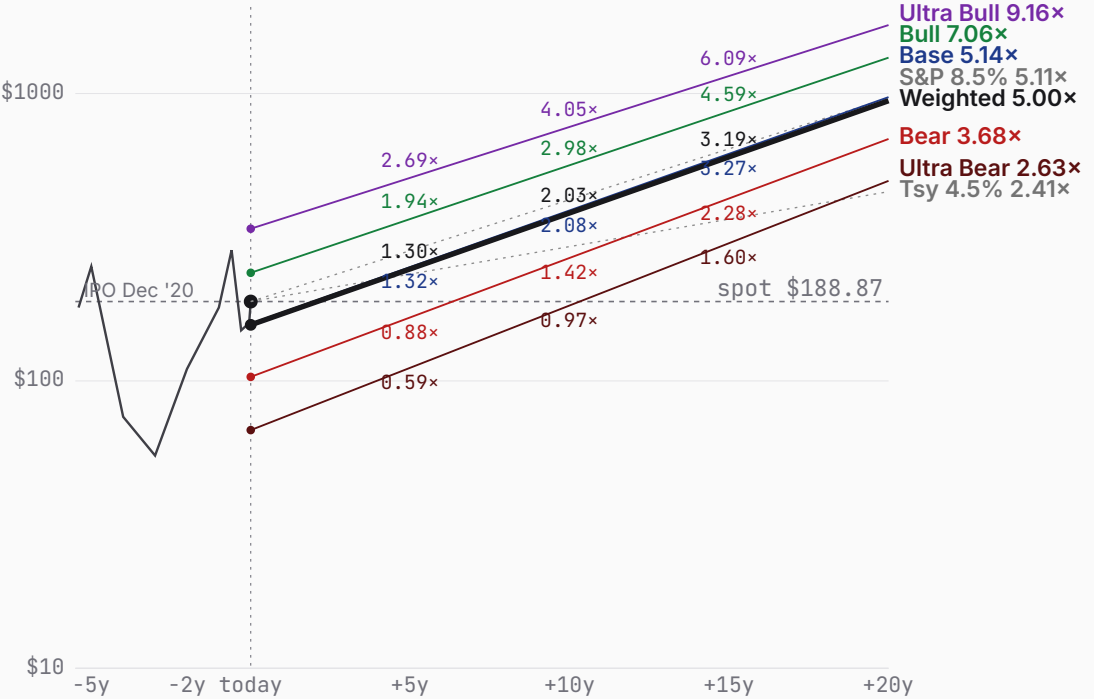
Base 33% Margin inflects; ads scale; ~\$158 (-1%).

Bull 18% Ads+grocery scale; ~\$238 (+50%).

Ultra Bull 7% Dominant local-commerce platform; ~\$338 (+113%).

Bull (18%) + Ultra Bull (7%) together contribute \$66.49 — 42% of the \$156.70 expected value despite 25% combined probability. Today's spot (\$188.87) sits 21% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$67.43	BEAR	\$103.28	BASE	\$158.19	BULL	\$237.79	ULTRA BULL	\$338.45
	-64.3% vs spot		-45.3% vs spot		-16.2% vs spot		+25.9% vs spot		+79.2% vs spot
CAGR +6.2% WACC 10.5% CAGR +6.2% Prob 15%		CAGR +10.0% WACC 10.0% CAGR +10.0% Prob 27%		CAGR +12.4% WACC 9.5% CAGR +12.4% Prob 33%		CAGR +15.0% WACC 9.0% CAGR +15.0% Prob 18%		CAGR +18.0% WACC 8.5% CAGR +18.0% Prob 7%	
Growth slows; margin stalls; SBC dilutes.		Decelerates; modest margin inflection.		Margin inflects; ads scale; ~15% growth.		Ads + grocery scale; margin to ~5% of GOV.		Dominant local-commerce platform.	



DoorDash scenario narratives

PROBABILITY WEIGHTS

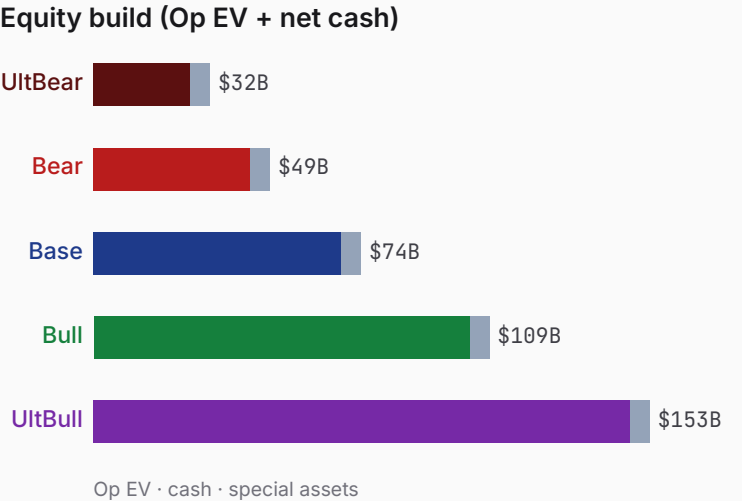
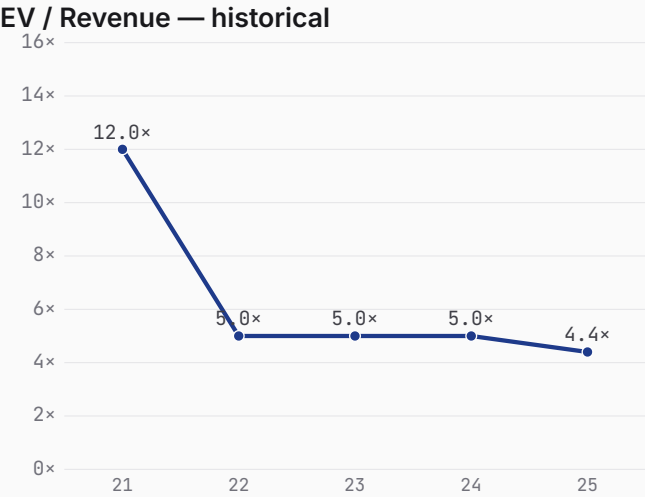
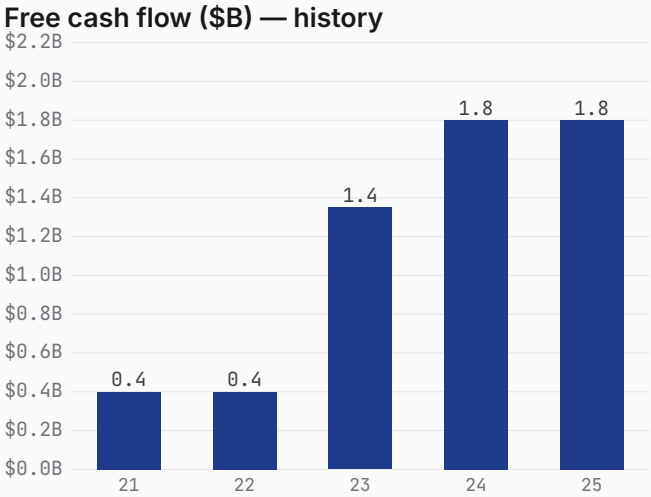
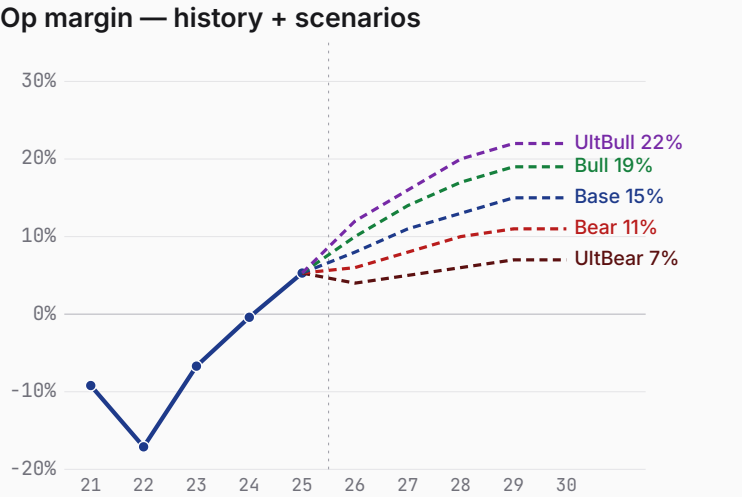
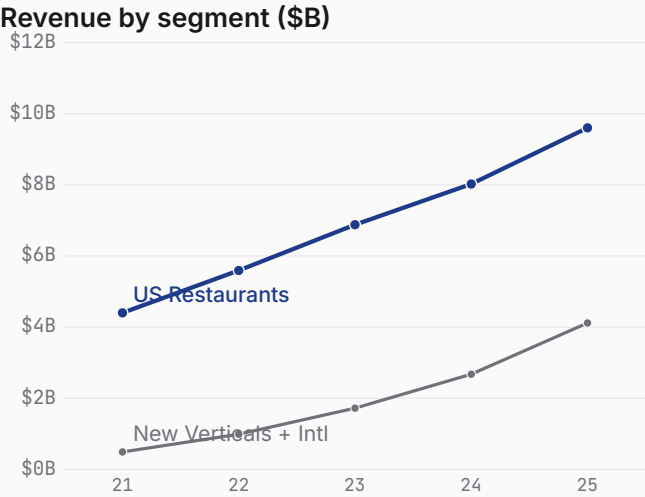
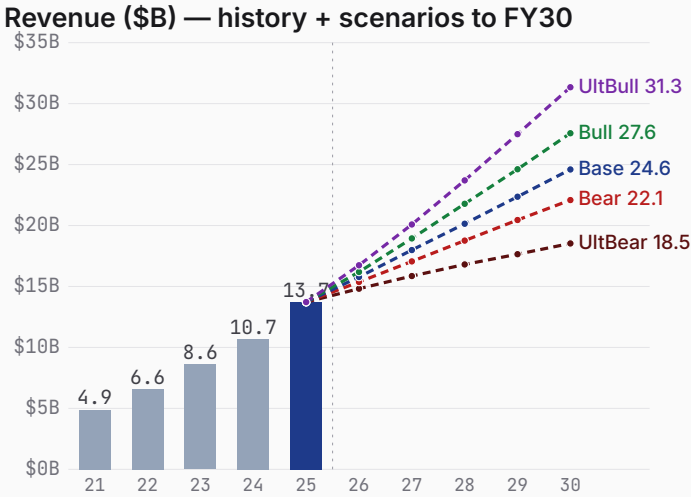
Ultra Bear 15% Bear 27% Base 33% Bull 18% Ultra Bull 7% · Weighted expected \$156.70 (-17.0% vs spot)

ULTRA BEAR	\$67.43	BEAR	\$103.28	BASE	\$158.19	BULL	\$237.79	ULTRA BULL	\$338.45
	-64.3% vs spot		-45.3% vs spot		-16.2% vs spot		+25.9% vs spot		+79.2% vs spot
Probability 15%		Probability 27%		Probability 33%		Probability 18%		Probability 7%	
Growth slows; margin stalls; SBC dilutes.		Decelerates; modest margin inflection.		Margin inflects; ads scale; ~15% growth.		Ads + grocery scale; margin to ~5% of GOV.		Dominant local-commerce platform.	
WHY 15%		WHY 27%		WHY 33%		WHY 18%		WHY 7%	
The bear: the margin inflection stalls and SBC dilution + Uber competition cap returns. 15% weight on spending-ahead-of-returns persisting.		Growth decelerates and the margin ramp is slower than the bull case. 27% weight — a plausible 'grows but stays expensive' path.		Requires the guided 2H'26 margin inflection + ads scaling + mid-teens GOV. 33% as the central, near-spot outcome — but SBC caps the per-share.		The margin inflection compounds (ads + grocery + international) and growth stays high-teens. ~18%; the bull the de-rate is discounting away.		Full local-commerce dominance + a high-margin ad/autonomy mix. ~7%, the asymmetric upside.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
US restaurant delivery saturates, New Verticals stay margin-dilutive, Uber Eats presses, and ~\$1.3B/yr SBC keeps diluting. GOV growth decays toward high-single while the 2.4%-of-GOV margin stalls.		GOV decelerates to low-double-digits and the margin inflects only modestly as ads scale but New Verticals stay competitive; SBC dilution continues.		The modal path: advertising scales past \$1B, New-Verticals (grocery) unit economics turn positive in 2H'26, and the network compounds GOV mid-teens — lifting the FCF margin toward 20%.		Advertising + grocery + international (Deliveroo/Wolt) drive the GOV margin toward 4-5%, GOV compounds high-teens, and SBC moderates as a share of revenue.		DoorDash becomes the dominant local-commerce platform (restaurants + grocery + retail + ads + autonomy optionality) compounding GOV ~20% at peak network margins.	
DCF ~\$67 (-58%) — a no-margin-inflection, SBC-heavy delivery business at a premium multiple de-rates hard.		DCF ~\$103 (-35%) — still below spot; the premium FCF multiple isn't covered by a modest inflection.		DCF ~\$158 (-1%) — roughly fair; the 20%+ growth + margin inflection just cover the ~33x FCF entry after the de-rate.		DCF ~\$238 (+50%) — the local-commerce network re-rates as the margin inflection proves durable.		DCF ~\$338 (+113%) — the local-commerce 'everything' platform; ~7% probability.	

DoorDash business snapshot

Bear \$103.28 Base \$158.19 Bull \$237.79

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 10-K + Q1'26



Sources: DoorDash FY2025 10-K (GOV \$102B, revenue \$13.72B, adj EBITDA \$2.8B, FCF \$1.8B, net cash \$5.5B), Q1'26 (GOV +37% incl. Deliveroo). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; SBC modeled via rising final_shares (dilution); Gordon terminal. EV/FCF vs UBER/Instacart.

DoorDash 7 Powers · the moat, scored

Bear \$103.28 Base \$158.19 Bull \$237.79

Arena. Local commerce / food delivery — DoorDash (US #1, ~60% restaurant share, New Verticals + ads + Wolt/Deliveroo) vs Uber Eats, Instacart (grocery), Grubhub; defending a network + scale Power as it spends to inflect margins.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	#1 US volume; logistics density lowers cost/delivery; fixed ad/tech spread over the largest GOV base.
Network Economies · thesis leans here ■■■	The dominant Power: two-sided consumer↔merchant↔Dasher density flywheel.
Counter-Positioning ■■■	Was the suburban-first disruptor; incumbents have matched.
Switching Costs ■■■	DashPass + habit + saved data; modest (multi-homing is easy).
Branding ■■■	Strong US verb-status, not pricing-power branding.
Cornered Resource ■■■	No durable exclusive asset; the Dasher network is replicable.
Process Power ■■■	Logistics/ML routing + ETA accuracy — a real operational edge.

PEER SET

Uber Eats US #2 restaurants + global; bundles with mobility; richer EV/EBITDA.	18% gr · ~16x EV/FCF
Instacart (CART) US grocery-delivery leader; high-margin ads, slower GOV growth.	10% gr · cheaper
Grubhub Distant #3 in US restaurants (<10% share); declining.	-5% gr · n/a
Amazon / Walmart Grocery/retail-delivery scale — the New-Verticals threat.	· varies

THREAT VECTORS · FALSIFIERS

- Scale Economies** · Uber Eats (US share)
falsifier: DoorDash US restaurant share falls below 58% or Uber bundling erodes take rate.
- Network Economies** · Instacart (grocery)
falsifier: DASH grocery unit economics stay negative past 2026.
- Counter-Positioning** · Gig-worker regulation
falsifier: A major-state reclassification ruling structurally raises the Dasher cost base.

COMPETITIVE READ

DoorDash's network-economies + scale (logistics density) are dominant and durable in US restaurants (~60% share, >2x Uber Eats), and GOV is still compounding +27% — the 40% drawdown is a margin/SBC story, not a growth one. The terminal multiple hinges on whether advertising + New-Verticals scale lift the 2.4%-of-GOV margin without a price war, net of ~\$1.3B/yr SBC dilution. At ~33x EV/FCF the 20%+ growth + margin inflection roughly cover the entry — fair, with the sign on the 2H'26 inflection.

DoorDash show your work

Bear \$103.28 Base \$158.19 Bull \$237.79 · Weighted \$156.70 (-17.0%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$67.43					\$103.28					\$158.19					\$237.79					\$338.45				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+6.2					+10.0					+12.4					+15.0				
Year-5 op margin (%)					7.0					11.0					15.0					19.0				
WACC (%)					10.5					10.0					9.5					9.0				
Terminal growth (%)					2.5					3.0					3.5					4.0				
Terminal FCF (\$B)					\$2.41B					\$3.53B					\$4.92B					\$6.34B				
Starting revenue (\$B)					13.72					13.72					13.72					13.72				
Scenario probability (%)					15					27					33					18				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	14.82	+4%	+1.78	+1.61	FY26	15.37	+6%	+2.15	+1.96	FY26	15.78	+8%	+2.52	+2.31	FY26	16.19	+10%	+2.91	+2.67	FY26	16.74	+12%	+3.35	+3.09
FY27	15.85	+5%	+1.90	+1.56	FY27	17.06	+8%	+2.56	+2.12	FY27	17.99	+11%	+3.24	+2.70	FY27	18.94	+14%	+3.79	+3.19	FY27	20.09	+16%	+4.62	+3.92
FY28	16.81	+6%	+2.19	+1.62	FY28	18.76	+10%	+3.00	+2.25	FY28	20.15	+13%	+3.83	+2.92	FY28	21.78	+17%	+4.79	+3.70	FY28	23.70	+20%	+5.93	+4.64
FY29	17.65	+7%	+2.29	+1.54	FY29	20.45	+11%	+3.27	+2.23	FY29	22.36	+15%	+4.47	+3.11	FY29	24.61	+19%	+5.66	+4.01	FY29	27.49	+22%	+7.15	+5.16
FY30	18.53	+7%	+2.41	+1.46	FY30	22.09	+11%	+3.53	+2.19	FY30	24.60	+15%	+4.92	+3.13	FY30	27.57	+19%	+6.34	+4.12	FY30	31.34	+22%	+8.15	+5.42
Σ PV explicit FCF					+7.79					+10.75					+17.69					+22.23				
+ PV terminal (g 2.5%)					18.74					32.29					85.72					125.25				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$26.53B					\$43.04B					\$103.41B					\$147.48B				
+ Cash & investments					\$5.50B					\$5.50B					\$5.50B					\$5.50B				
= Equity value					\$32.03B					\$48.54B					\$108.91B					\$152.98B				
FY30 shares (M)					475					470					458					452				
= Expected per share					\$67.43					\$103.28					\$237.79					\$338.45				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$111.09	\$183.01	\$301.50	\$496.71		\$166.33	\$267.88	\$431.43	\$694.82		\$249.03	\$392.03	\$617.15	\$971.54		\$365.87	\$562.94	\$866.15	\$1,332.67		\$508.91	\$765.23	\$1,150.64	\$1,730.17	
0.59×	0.97×	1.60×	2.63×		0.88×	1.42×	2.28×	3.68×		1.32×	2.08×	3.27×	5.14×		1.94×	2.98×	4.59×	7.06×		2.69×	4.05×	6.09×	9.16×	

DoorDash

People · Opportunity · Context · Deal

Bear \$103.28 Base \$158.19 Bull \$237.79

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Tony Xu · founder-led

13 yrs in seat

12%insider ownership

HIGHkey-person risk

Capital allocation (realized)
Growth-by-stock: the \$8.1B all-stock Wolt deal (2022) took DoorDash to 27 countries, plus 2025 bolt-ons (Deliveroo, SevenRooms) — capital goes to expansion, funded with equity (dilutive). Buybacks authorized (\$1.1B 2024 → only \$224M used; \$5B 2025 → little executed by mid-year): intent ahead of action. Heavy SBC.

Incentive alignment
Pay-for-performance via the 2020 CEO award (10.4M shares, ~3.5%) that vests only as the stock clears escalating price targets (up to \$501 by 2027) — \$0 vested in FY2024 when targets were unmet; FY2024 cash comp was a nominal ~\$300k salary with no new equity.

GOVERNANCE FLAGS

- multi-class super-voting (Class B = 20 votes) → founders ~54% of votes, all directed by Xu via irrevocable proxy
- CEO + Chairman combined; controlled-company eligible but does not use the exemptions
- classified board; 2021 ISS / Glass Lewis pushback on the structure + pay
- sunset is event / ownership-triggered (no fixed date)

PEOPLE READ

Founder-CEO paid only on escalating price hurdles (\$0 vested when unmet) and not leaning on the controlled-company exemptions — but the ~54% founder vote is concentrated in one person via an irrevocable proxy, buyback intent has outrun execution, and growth has been bought with dilutive stock.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator (DASH 6.48)

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the –1% finding, fairly valued) + position sizing.

DoorDash supporting analysis · disclaimers · glossary

Bear \$103.28 Base \$158.19 Bull \$237.79

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

GOV still compounding +27%.
Down 40% on a margin/SBC concern, not a growth one — GOV \$102B (+27%), Q1'26 +37%; the network keeps scaling.
- 2

US #1 with network + scale density.
~60% US restaurant share, >2x Uber Eats; logistics density is a genuine cost moat.
- 3

Advertising is the high-margin lever.
~\$1B run-rate, near-100% incremental margin — the single biggest margin-inflection driver.
- 4

Net cash \$5.5B; first +FY GAAP income 2024.
Profitability inflected (\$123M 2024 → \$935M 2025); self-funding, buying back stock.
- 5

New Verticals + international optionality.
Grocery unit economics guided positive 2H'26; Deliveroo/Wolt add 9 countries — TAM expansion.

FALSIFICATION TRIGGERS

Bull validation grocery/retail unit economics turn positive (2H'26) · advertising passes \$1.5B run-rate · GOV margin rises above 3.5% · GOV stays mid-teens+	Bear validation US restaurant share falls below 58% · grocery stays margin-negative past 2026 · SBC stays >\$1.3B/yr · Uber Eats gains share	Reframe needed if gig-worker reclassification structurally raises the Dasher cost base, re-rate the unit economics + terminal margin
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GOV / take rate — Gross order value (~\$102B FY25) x ~13.4% take = revenue; the two metrics that drive the model.	New Verticals — Grocery / convenience / retail delivery — the fastest-growing, margin-dilutive-today segment guided to positive unit economics 2H'26.	Network economies — Helmer Power: more consumers → more merchants/Dashers → density → speed/selection; the core moat.
SBC dilution — Stock-based comp ~\$1.3-1.4B/yr (> GAAP net income) — modeled here as a rising share count; the sharpest bear point.	FCF margin — Free cash flow / revenue (~13% FY25, inflecting); the mature-DCF lever as ads + New Verticals scale.	